

TENTATIVE RULINGS
Judge SHEILA RECIO, Dept. W8

Law & Motion is heard on Fridays at 9:30 a.m., *unless specially set.*

CIVIL COURT REPORTERS: Department W8 does not provide the services of an official court reporter for law and motion hearings. Please see the court's website for rules and procedures for court reporters obtained by the parties.

POSTING TENTATIVES: Department W8 endeavors to post tentative rulings for law and motion hearings by 5 p.m. on Thursdays. **Do NOT call the Department for a tentative ruling if none is posted.** The court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been prepared.

SUBMITTING ON THE TENTATIVE: If ALL sides intend to submit on the tentative ruling, please advise the Department's clerk or courtroom attendant by calling (657) 622-5908. If so advised, the tentative ruling shall become the court's final ruling and the prevailing party shall file and serve a Notice of Ruling and if appropriate, prepare a Proposed Order pursuant to Rule 3.1312 of the California Rules of Court. **Please do not call the Department unless ALL parties submit on the tentative ruling.**

NO APPEARANCES: If no one appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court will determine if the matter is taken off calendar, the tentative ruling becomes the final ruling, or a different order is issued at the hearing. (See *Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

REMOTE APPEARANCES: Department W8 conducts non-evidentiary proceedings, including law and motion via Zoom through the court's online check-in process available through the court's website at <https://www.occourts.org/general-information/covid-19-response/civil-covid-19-response/civil-remote-hearings>. All counsel and self-represented parties appearing for such hearings **must check-in at least 5 minutes before** the 9:30 a.m. hearing on Friday.

The court encourages the parties and attorneys to take advantage of remote appearances for non-evidentiary hearings to reduce travel time, parking costs, and potential hearing delays. However, keep in mind that potential technological or audibility issues could arise when using remote technology, which may require a delay of or halt the proceedings. To help

avoid such, please log in and test your equipment in advance of the hearing. Also, if technological or audibility issues arise during the proceeding, please call **(657) 622-5908**.

All remote video participants shall comply with the court's "**Guidelines for Remote appearances**", found at <https://www.occourts.org/system/files/guidelinesforremoteproceedings.pdf>.

IN-PERSON: Parties preferring to appear in-person for a law and motion hearing may do so, consistent with Section 367.75 of the Code of Civil Procedure and Orange County Local Rule 375.

PUBLIC ACCESS: The courtroom remains open for all evidentiary and non-evidentiary proceedings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

July 10, 2026

#	Case Name	
1	Nguyen vs. County of Orange	<u>Motion to Be Relieved as Counsel of Record</u> The court DENIES without prejudice the unopposed Motion to Be Relieved as Counsel for Plaintiff DANG HAI NGUYEN, filed by attorneys BRIAN MICHAEL JACOBSON and WILSHIRE LAW FIRM. The motion is unopposed and most of the requirements set forth in Rule 3.1362 of the California Rules of Court appear to have been met, including submitting the required form papers (e.g., Notice of Motion, Declaration, Proposed Order). The motion is nonetheless defective: Insufficient information is provided regarding the client's last known address. Requisite facts are not provided showing that the client's last known address was confirmed as current within 30 days before the filing of the motion. (Cal. Rules of Court, rule 3.1362(d).) The moving papers merely conclude that the client's last known

		address was confirmed “through an assets search which was ran on the Plaintiff on May 4, 2026.” (Mov. Decl. MC-052 [ROA 22], at ¶ 3(b)(1)(d).) The court finds counsel’s hearsay statement that Plaintiff’s current residence “was confirmed by a private investigator who assisted in locating Plaintiff on May 4, 2026” to be insufficient. (See Faridani Decl. [ROA 24] at ¶ 1.) It’s also unclear whether the client was served with both declarations filed in support of the motion (i.e., ROAs 22 and 24). The Proof of Service filed on 6/17/26 [ROA 26] does not show that the client was served with the Declaration of Manya Faridani [ROA 24]. The Proofs of Service filed indicate insufficient notice. Moving attorneys filed a proof of service showing that the client was served by U.S. mail on 6/17/26. (ROA 26.) Section 1005(b) of the Code of Civil Procedure extends the 16-court-day-notice-period by five calendar days when notice is served by mail. As such, if serving by mail, the client should have been served no later than 6/11/26. The file does not contain any proof of service showing such. Further, it appears that the motion was also untimely served on Defendant COUNTY OF ORANGE. The defendant filed and electronically served its Answer on 6/15/26, which is a couple of days before the instant motion was filed. A Proof of Service was recently filed on 6/30/26, showing that the Defendant was served with some documents related to the motion to be relieved as counsel via electronic mail on 6/30/26. Service should have occurred much earlier. (Code Civ. Proc., § 1005(b).) Accordingly, the motion is DENIED without prejudice. Moving attorney to give notice.
2	Moser vs. Limai Montessori Academy Cypress, LLC	<u>Motion for Attorney Fees</u> The court GRANTS in part Plaintiff’s motion for attorneys’ fees and costs after trial.

Plaintiff seeks to recover \$341,867.50 in attorneys' fees for 804.1 hours of work. Plaintiff also seeks a 1.5 multiplier, for a total enhanced fee award of \$512,801.25. In addition, Plaintiff seeks \$17,954.49 in costs against Defendants.

The court awards Plaintiff ALEXIS T. MOSER a **total attorney's fee award of \$116,918** against Defendants LIMAI MONTESSORI ACADEMY CYPRESS, LLC and LIMAI HOLDINGS, INC. (the "Limai Defendants"), jointly and severally. The court also awards Plaintiff **\$17,954.49 in total costs** against the Limai Defendants, jointly and severally.

Defendants' Late Opposition

After Plaintiff filed a reply brief and notice of Defendants' failure to file opposing papers on 7/2/26 (ROA 251), The Limai Defendants filed opposing papers on 7/6/26 (ROA 253).

The court exercises its discretion to consider Defendants' late-filed opposing papers (ROA 253), as well as Plaintiff's supplemental reply papers filed in response to the late opposing papers (ROA 255 and ROA 257).

Entitlement to Legal Fees

Attorney fees are recoverable "when authorized by any of the following: (A) Contract. (B) Statute. (C) Law." (Code Civ. Proc., § 1033.5(a)(10).) Under the default "American rule", which has been codified as part of the Code of Civil Procedure, each party to a lawsuit must usually pay its own attorney's fees. (See Code Civ. Proc., § 1021.)

Here, Plaintiff identifies Labor Codes sections 1194(a) and 218.5(a) as the statutory basis for their entitlement to fees.

Labor Code section 1194(a) states, "Notwithstanding any agreement to work for a lesser wage, any employee receiving less than the legal minimum wage or the legal overtime compensation applicable to the employee is entitled to recover in a civil action the unpaid balance of the full amount of this minimum wage or overtime

compensation, including interest thereon, reasonable attorney's fees, and costs of suit.”

Labor Code § 218.5(a) authorizes a plaintiff to recover reasonable attorney’s fees and costs “[i]n any action brought for the nonpayment of wages, fringe benefits, or health and welfare or pension fund contributions.” (Lab. Code, § 218.5(a).)

Here, after a nonjury trial, the court entered judgment in favor of Plaintiff on her complaint against Defendants Limai Montessori Academy Cypress, LLC and Limai Holdings, Inc, jointly and severally, in the total amount of \$54,102.28. The court also entered judgment in favor of Defendants SIMON WEH SHAO aka SIMON SHAO (“Shao) and JINGCHUN ZHANG aka SPRING ZHANG (“Zhang”) on the Complaint.

The court finds that as between Plaintiff and the Limai Defendants, Plaintiff is the prevailing party and is entitled to recover reasonable attorney’s fees and costs on claims covered under Labor Code sections 1194(a) or 218.5(a). As between Plaintiff and Defendants Shao and Zhang, the court finds that Plaintiff is not the prevailing party. As such, Plaintiff is not entitled to recover attorneys’ fees and costs related to Shao and Zhang.

Apportionment of Causes of Action

In her Complaint, Plaintiff asserted six causes of action, three based on the failure to pay wages, two based on legal violations (failure to provide meal breaks and failure to provide accurate wage statements) and one based on unfair competition.

As to Plaintiff’s labor code violation causes of action, courts have conflicting reasoning regarding whether or not attorneys’ fees are recoverable under Section 218.5(a) for certain claims.

In *Ramos v. Garcia*, the court held, “If the employee's action was instead brought to remedy an employer's legal violation (i.e., failure to provide a mandatory meal/rest break; § 226.7), there is no basis for awarding fees under

section 218.5 (or under § 1194).” (*Ramos v. Garcia* (2016) 248 Cal.App.4th 778, 785). “In such a case, employee claims are to be governed by the default American rule that each side must cover its own attorney fees.” (*Id.*) “Where there are multiple claims alleged in the complaint, a party need not prevail on all of the claims in order to qualify as a “prevailing party” under section 218.5, but may seek fees on only those claims to which section 218.5 applies.” (*Id.* at 786.)

In *Betancourt*, the court held, “extra pay for missed breaks constitutes ‘wages’ that must be reported on statutorily required wage statements during employment (Lab. Code, § 226) and paid within statutory deadlines when an employee leaves the job.” (*Betancourt v. OS Restaurant Services, LLC* (2022) 83 Cal.App.5th 132, 139). Where “plaintiff’s complaint sought penalties, costs and attorney fees under section 226 for failing to include rest break premiums on her itemized wage statements; and waiting time penalties under sections 201 through 203 for failure to pay all wages on termination. . . [t]hese were claims for nonpayment of wages.” (*Id.* at 140.) Reasonable attorneys’ fees are recoverable for such claims under section 218.5. (*Id.*)

Although the Supreme Court did not analyze attorney’s fees under section 218.5, in analyzing premium pay statutes, the Supreme Court has reasoned that premium pay for unlawfully denying an employee a meal or rest break constitutes “wages” for purposes of the Labor Code section providing for waiting time penalties. (*Naranjo v. Spectrum Security Services, Inc.* (2022) 13 Cal.5th 93, 117).

Here, the reasoning in *Betancourt* appears more persuasive. Of the six causes of action alleged by Plaintiff, the court finds that four relate to the payment of wages and are recoverable under section 218.5(a) (i.e., the first cause of action for failure to pay wages, the second cause of action for failure to pay overtime wages, the third cause of action for failure to provide required rest periods, and the fifth cause of action for failure to pay wages upon discharge) or section 1194(a) (second cause of action for overtime claim only).

And here, Plaintiff prevailed on two causes of action against the Limai Defendants—i.e., the second cause of action for the failure to pay overtime wages and the third cause off action to provide required rest periods. Plaintiff, however, did not prevail on Plaintiff’s remaining four causes of action.

When a cause of action for which attorney fees are provided by statute or contract is joined with other causes of action for which attorney fees are not permitted, attorney fees are only recoverable on the contract/statutory cause of action. (*Akins v. Enterprise Rent-A-Car Co. of San Francisco* (2000) 79 Cal. App. 4th 1127, 1133-1134.) This generally requires the trial court to apportion the fees so that the losing party is only required to pay for such fees as were incurred in prosecuting or defending the statutory action. (*Bell v. Vista Unified School Dist.* (2000) 82 Cal. App. 4th 672, 687.)

But apportionment is not required when the claims for relief are so intertwined that it would be impracticable, if not impossible, to separate the attorney’s time into compensable and noncompensable units. (*Akins*, 79 Cal.App.4th at 1133.)

As explained below, the court finds that apportionment is appropriate in this case.

Apportionment between Defendants

Here, Plaintiff did not prevail on her claims against Defendants Shao and Zhang. As such, fees are not recoverable against Shao and Zhang.

“To the extent [a prevailing defendant's] shared counsel engaged in litigation activity on behalf of [a codefendant] for which fees are not recoverable, the [trial] court has broad discretion to apportion fees.” (*Hill v. Affirmed Housing Group* (2014) 226 Cal.App.4th 1192, 1197). “A court may apportion fees even where the issues are connected, related or intertwined.” (*Ibid.*) And “although time-keeping and billing procedures may make a requested segregation difficult, they do not, without more, make it

impossible.” (*Heppler v. J.M. Peters Co.* (1999) 73 Cal.App.4th 1265, 1297.)

Here, Plaintiff has failed to identify time entries that are related to the Limai Defendants (against whom fees are recoverable) and Shao/Zhao (against whom fees are not recoverable). The court finds that the legal theories alleged against the individual defendants are distinct from the legal theories against the Limai Defendants. The basis for Plaintiff’s liability against the individual defendants require Plaintiff to establish alter ego liability. As such, the claims between the Limai Defendants and the individual defendants are not necessarily inextricable intertwined. Apportionment between fees related to the Limai Defendants and the individual defendants is appropriate here.

Lodestar Analysis Before Apportionment

When determining a reasonable attorneys’ fee award using the lodestar method, the court begins by deciding the reasonable hours the prevailing party’s attorney spent on the case and multiplies that number by the prevailing hourly rate for private attorneys in the community who conduct noncontingent litigation of the same type. (*Doppes v. Bentley Motors, Inc.* (2009) 174 Cal.App.4th 967, 998; see also *Environmental Protection Info. Ctr. v. California Dep’t of Forestry & Fire Protection* (2010) 190 Cal.App.4th 217, 248.) The court may rely on personal knowledge and familiarity with the legal market in setting a reasonable hourly rate. (*Heritage Pac. Fin., LLC v. Monroy* (2013) 215 Cal.App.4th 972, 1009.)

The court has the discretion to increase or decrease the lodestar figure by applying a positive or negative multiplier based on a variety of factors that the court did not consider when determining the lodestar figure, such as the novelty and difficulty of the issues presented, the extent to which the nature of the litigation precluded other employment by the attorneys, and the contingent nature of the fee award. (See *Northwest Energetic Servs., LLC v. California Franchise Tax Bd.* (2008) 159 Cal.App.4th 841, 879-82; *Graciano v. Robinson Ford Sales, Inc.* (2006) 144 Cal.App.4th 140, 154.) The court is not required to impose a multiplier; the

decision is discretionary. (*Galbiso*, 167 Cal.App.4th at 1089; *Nichols v. City of Taft* (2007) 155 Cal.App.4th 1233, 1241.)

Here, Plaintiff seeks to recover for the following:

Attorney	Rate	Hours	Amount
Jeffrey Gwynn	\$400-\$475	262	\$118,210
Alexander Chang	\$400-\$475	40.30	\$17,357.50
Sara Wang	\$395-\$425	460.80	\$191,870
Jung Kim	\$325-\$350	36	\$12,155.00
Anticipated Reply/Hrg		5	\$2,275
Total		804.1	\$341,867.50

The court finds that the rates charged by counsel are reasonable. The hourly rates range from \$325 to \$475. The court finds that these rates are reasonable for the market for the type of work this case entailed based on the skills and experience of counsel.

Plaintiff seeks recovery for 804.1 hours of work. Defendants do not identify any line items that Defendants claim are unreasonable or unrecoverable. Rather, Defendants only object to the \$12,155 in fees for attorney Jung Kim's work. Attorney Jung Kim apparently no longer works for Plaintiff's counsel's law firm. As such, Defendants contend that Attorney Kim's work should be excluded as inadmissible hearsay. The court overrules Defendants' objection. The time spent by Attorney Kim was properly authenticated as a business record of Plaintiff's counsel.

Because Defendants do not identify any other specific line item, the court will not reduce any hours of work performed.

"[T]he verified time statements of the attorneys, as officers of the court, are entitled to credence in the absence of a clear indication the records are erroneous." (*Horsford v Board of Trustees of California State University* (2005)132 Cal.App.4th 359, 396; *Raining Data Corp. v. Barrenechea* (2009) 175 Cal.App.4th 1363, 1367 [declarations of counsel

are also "sufficient to meet the burden of establishing the reasonableness of the fees incurred, without the need to produce copies of counsel's detailed billing statements."].) Here, the court finds that Plaintiff's counsel's billing statements are sufficient to meet Plaintiff's initial burden of establishing the reasonableness of the fees sought.

To oppose a showing of a fee request supported by declarations describing the efforts taken with billing records to establish the hours of work, a party may "attack the itemized billings with evidence that the fees claimed were not appropriate, or obtain the declaration of an attorney with expertise in the procedural and substantive law to demonstrate that the fees claimed were unreasonable." (*Premier Med. Mgmt. Sys. v. Cal. Ins. Guarantee Assoc.* (2008) 163 Cal.App.4th 550, 563-564.) "The party opposing the fee award can be expected to identify the particular charges it considers objectionable. A reduced award might be fully justified by a general observation that an attorney overlitigated a case or submitted a padded bill or that the opposing party has stated valid objections." (*Gorman v. Tassajara Development Corp.* (2009) 178 Cal.App.4th 44, 101.)

Here, Defendants failed to meet their burden of attacking any itemized billing or charges or otherwise establishing that any number of hours sought for recovery are excessive, objectionable, and/or unreasonable.

Lodestar Analysis After Apportionment

Having found that the rates Plaintiff requested were reasonable and the number of hours reasonable, the court must then apportion amounts from the \$341,867.50 sought based on recoverable claims against recoverable defendants.

Having reviewed the record in this matter, having presided over the trial and evidence in this matter, having reviewed the work performed in Plaintiff's time sheets, the court uses its discretion to apportion Plaintiff's fees and finds that \$116,918 of the fees requested are based on recoverable claims against recoverable defendants. As such, the Lodestar amount is \$116,918.

Multiplier

In determining whether to apply a multiplier, the court considers a variety of factors that the court did not consider based when determining the lodestar figure, such as the novelty and difficulty of the issues presented, the skill displayed in presenting them, the extent to which the nature of the litigation precluded other employment by the attorneys, and the contingent nature of the fee award. (See *Ketchum*, 24 Cal.4th at 1132-1134; *Northwest Energetic Servs., LLC v. California Franchise Tax Bd.* (2008) 159 Cal.App.4th 841, 879-82; *Graciano v. Robinson Ford Sales, Inc.* (2006) 144 Cal.App.4th 140, 154.) The court is not required to impose a multiplier; the decision is discretionary. (*Galbiso*, 167 Cal.App.4th at 1089; *Nichols v. City of Taft* (2007) 155 Cal.App.4th 1233, 1241.)

Here, the court determines that a multiplier is not appropriate here and therefore declines to award the requested 1.5 lodestar multiplier.

Attorneys' Fees Awarded

For the reasons set forth above, the court awards Plaintiff Alexis T. Moser a total attorney's fee award of \$116,918 against Defendants Limai Montessori Academy Cypress, LLC and Limai Holdings, Inc., jointly and severally.

Costs

Prejudgment costs must be claimed and contested in accordance with the rules adopted by the Judicial Council. (Code Civ. Proc., § 1034(a).)

Plaintiff timely filed a memorandum of costs. (ROA 240). Defendants have not filed a timely motion to tax or strike costs to challenge any of Plaintiff's cost items.

As such, the court awards Plaintiff \$17,954.49 in costs against Defendants Limai Montessori Academy Cypress, LLC and Limai Holdings, Inc., jointly and severally.

		Plaintiff to give notice and submit an Amended Judgment forthwith.
3	Wang vs. Bui	<u>Motion to Tax Costs</u> The court DENIES in part, and GRANTS in part, Plaintiffs JIN WANG, M.D. and CHIRAG VAIDYA, M.D.'s motion to tax costs. In their one-page memorandum of points and authorities (ROA 541), Plaintiffs argue that the Defendants' failure to use the Judicial Council Worksheet for the Memorandum of Costs (MC-11) is sufficient grounds to strike the Defendants' entire memorandum of costs. As Defendants note in their opposing papers, Plaintiffs' argument lacks merit. Rule 3.1700 of the California Rules of Court requires a party to serve and file a memorandum of costs; It does not require the use of the Worksheet. As the court held in <i>Ladas v. California State Automotive Association</i> (1993) 19 Cal.App.4th 761, 774, "If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs." As such, Plaintiffs' argument for striking the entire cost memorandum is without merit and as such, the court DENIES the request to strike the entire cost memorandum. Shortly after Defendants provided a set of exhibits to support the charges claimed, Plaintiffs filed a reply brief wherein they challenge certain deposition costs and filing fees. <i>Deposition Costs</i> Plaintiffs argue that the court should tax \$1,351.25 for a claimed deposition no-show on 4/14/22. The last page of Defendants' Exhibit List, which was belatedly filed on

7/1/26, shows a First Legal Invoice for charges related to a certificate of non-appearance, with the charges totaling \$1,351.25. In support of Plaintiffs' Reply, counsel for Plaintiffs declares, "According to my email records, I noted that, on April 14, 2022, at 9:29 am, I sent an email to Mr. Bui to the effect that no link had been received from his office in order to access the remote deposition that had been set for April 14, 2022. I also noted that Dr. Vaidya had cleared his calendar for the deposition. I also observed that the deposition notice required at least 5 days to provide the link, and because the link was not actually sent, Dr. Vaidya was returning to his clinic." (Boros Decl., ¶ 2.) "The 'no-show' of April 14, 2022 was not due to any act, oversight, or omission on my part." (Boros Decl., ¶ 4.)

Based on the evidence presented, the court taxes \$1,351.25 for a claimed deposition no-show on 4/14/22.

Filing Fees for Separate Case

Also in their reply papers, Plaintiffs argue that Defendants improperly included \$1,576.79 worth of charges for filings in the San Bernadino County Superior Court.

Other than the depositions costs, Defendants claimed \$1,656.55 for fees for electronic filing or service, \$380 for filing and motion fees and \$150 for jury fees.

Pages 5, 8, 10, 15, 23, 28, 29, 30, 31, 32, 33, 34, 35, 36, 37, 38, 39, and 47 of Defendants' Exhibit List are for Nationwide Legal LLC filing invoices for documents apparently filed in San Bernadino County.

Based on the evidence presented, the court taxes \$1,576.79 from the cost memorandum for filings apparently made in another case.

Moving Defendants to give notice.

4	CA-MRE Holdings, LLC vs. Sierra Creek, LLC	<u>Motion for Leave (re Third Amended Complaint)</u> No Tentative. The parties should however be prepared at the hearing to discuss the procedural history of this action, including the following: Over the last five+ years, Plaintiff has amended the complaint numerous times and trial has been continued numerous times. Specifically, Plaintiff CA-MRE HOLDINGS, LLC filed this action on 4/27/21. Plaintiff filed a First Amended Complaint on 9/1/21 and shortly thereafter, the original trial was scheduled for 9/12/22. After the court sustained a demurrer with leave to amend, Plaintiff filed a Second Amended Complaint on 3/14/22. Pursuant to Plaintiff’s Ex Parte Application (and due to a cross-complaint filed on 4/26/22), trial was continued to 3/10/23. Pursuant to stipulations, trial was thereafter continued to 3/11/24, and then to 10/14/24, and then to 7/7/25, and then to 12/8/25, and then to 4/20/26. When continuing the trial from 12/8/25 to 4/20/26, the court stated, “<u>No</u> further continuances”. (ROA 202.) Nonetheless, the court continued the trial yet again, to 8/31/26 based upon the stipulation of the parties and the court’s congested calendar. (ROA 248.) Trial is currently set for 8/31/26, the discovery deadline is quickly approaching, and Defendants have stipulated to continue the 5-year rule to 10/27/26. Now with trial quickly approaching (again) and despite that the action is more than five years old, Plaintiff seeks leave to file a Third Amended Complaint that would among other things, “add[] a direct breach of contract claim by CA-MRE against Sierra Creek, LLC for breach of a 2018 Assignment agreement (attached to the proposed TAC as Exhibit C); add[] an accounting claim; and revise[] the fraud claims.” (Not. of Mot, at p. 2, lines 8-16.)
5	Stern vs. Comdirect, Inc.	<u>Motion for Leave (re Cross Complaint)</u> The court GRANTS Defendants COMDIRECT, INC., ZACHARY LINDEN, and BLAKE BENJAMIN’S unopposed motion for

		leave to file a proposed cross-complaint against Plaintiff DIANE STERN and THE LAWRENCE AND DIANE STERN FAMILY TRUST. According to the moving papers: Defendants timely prepared a cross-complaint but the attempted filing on 3/3/26 was rejected by the Clerk's Office because of a defect in the pleading caption. Defendants later corrected the caption defect but the resubmittal on 3/18/26 was again rejected by the Clerk's Office, as the Cross-Complaint was not filed <i>with</i> Defendant's Answer on 3/3/26. The proposed cross-complaint appears to be compulsory and there is no apparent basis to find that Defendants have not acted in good faith to file the proposed Cross-Complaint. Moving Parties SHALL separately file the proposed Cross-Complaint within 5 days and immediately serve the Cross-Complaint pursuant to the Code of Civil Procedure. Trial (3-5 day jury) remains set for 11/15/27. Moving Parties to give notice.
6	Real vs. Dhillon Carrier, Inc.	<u>Motion to Quash Service of Summons</u> The court GRANTS Specially Appearing Defendant DHILLON CARRIER, INC's ("Dhillon Carrier") unopposed motion to quash service of summons. Dhillon Carrier moves for an order quashing the service of the summons and complaint that was purportedly effectuated via substitute service on 10/14/25 and/or 12/15/25. (See Proofs of Service, filed 10/16/25 [ROA 10] and 12/22/25 [ROA 16].) When a defendant challenges jurisdiction, the burden is on the plaintiff to prove "the facts requisite to an effective service." (<i>Dill v. Berquist Constr. Co.</i> (1994) 24 Cal.App.4th 1426, 1440. See also, <i>Lebel v. Mai</i> (2012) 210 Cal.App.4th 1154, 1160 ["It was incumbent upon plaintiff, after the

filing of defendant's motion to quash, to present evidence discharging her burden to establish the requisites of valid service on defendant"].)

Effecting service on a corporation requires delivery of summons and complaint to an individual on behalf of the corporation. (Code of Civ. Proc. § 416.10.) Service may be made upon an agent for service of process, the president, chief executive officer, or other head of the corporation, a vice president, a secretary or assistant secretary, a treasurer or assistant treasurer, a controller or chief financial officer, a general manager, or a person authorized by the corporation to receive service of process. (Id. at subd. (a) & (b).)

Corporations served within California may be served in the following manner: (1) personal delivery, (Code Civ. Proc., § 415.10); (2) "substitute service," (Code Civ. Proc., § 415.20); (3) mail and acknowledgement of receipt, (Code Civ. Proc., § 415.30); and, (4) by publication, (Code Civ. Proc., § 415.50). Summons may be served to a place outside California but within the U.S. by any of the four methods listed above; or by registered or certified mail with return-receipt-requested; or by any other method prescribed by the law of the place where the person is served. (Code of Civ. Proc. § 413.10(b).)

According to the proof of service filed on 10/16/25, Dhillon Carrier's registered agent GURSIMRANJIT SINGH was served by substitute service on TAJINDER SANDHU as "Person in Charge, Authorized to Accept". (ROA 10.)

Dhillon Carrier argues that substituted service on 10/14/25 was not proper because it was served on an individual that shares the same name as the Agent for Service of Process for Dhillon Carrier, but the individual served has no affiliation with Dhillon Carrier. Dhillon Carrier also notes that no declaration of diligence is attached to the proof of service.

Plaintiffs, who did not oppose the motion, have not shown that Tajinder Sandhu is a person closely connected with Gursimranjit Singh. (See Code Civ. Proc., § 415.20, Editor's Notes ["Section 415.20 authorizes substituted service, in

lieu of delivery of process to a defendant personally, to be made on a defendant by delivering a copy of the summons and of the complaint to a person closely connected with him, usually at the defendant's place of business, dwelling house, or usual place of above."].)

Also, the 10/14/25 proof of service does not comply with Section 415.20(b) of the Code of Civil Procedure, which requires a showing that "the summons and complaint cannot with reasonable diligence be personally delivered to the person to be served". (Code Civ. Proc., § 415.20(b). As defendant notes, no declaration of diligence accompanies the purported service.

After apparently discussing these defects with Plaintiff's counsel, Plaintiffs filed a second proof of service on 12/22/25.

With regard to the second purported substitute service attempt on 12/15/25, the proof of service indicates that GURSIMRANJIT SINGH (agent for service of process for Defendant) was served via the "U.S. Marshal's Service" while Defendant's agent was in federal custody in McAllen, Texas. The proof of service does not identify any individual (with the U.S. Marshal's Service or otherwise) who may have received service.

The court finds that Plaintiffs failed to comply with the relevant statutes to effectuate service.

As such, the motion is GRANTED.

Specially Appearing Defendant to give notice.

Re Upcoming Hearings

In light of the above ruling, **the court DISCHARGES the Order to Show Cause (re requesting entry of default) set for 7/27/26.**

Also, **the court CONTINUES the Case Management Conference from 7/27/26 to 11/2/26 at 10:00 am.** All appearing parties SHALL file and serve a timely case

		management statement <u>at least 15 calendar days prior</u> to the continued hearing as required by the rules, including California Rules of Court rule 3.725 and Local Rule 369. Plaintiff to give notice.
7	Pacific Castle Portola, LLC vs. Ketabchi	<u>Motion to Set Aside Default and Default Judgment</u> The court takes Defendant MONA KETABCHI's motion to set aside default and default judgment OFF CALENDAR. Procedural background: On 8/21/25, the IDC court struck Defendant's Answer (filed on 4/29/24). Thereafter, judgment by default was entered on 11/14/25. Thereafter, on 12/12/25, Defendant filed a notice of appeal of the default judgment. (ROA 104.) Months thereafter, on 2/19/26, Defendant filed the instant motion to set aside default and default judgment. The court is without jurisdiction to proceed at this time. The filing of a valid notice of appeal of a judgment generally divests the trial court of jurisdiction over anything affecting the judgment. Until the remittitur issues, the lower court lacks jurisdiction over the subject matter of the order or judgment on appeal. This rule prevents the trial court from rendering an appeal futile by conducting proceedings that may affect or alter the judgment on appeal. (See <i>Townsel v. Superior Court</i> (1999) 20 Cal.4th 1084, 1089. See also, Code Civ. Proc., § 916 ["the perfecting of an appeal stays proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby, including enforcement of the judgment or order, but the trial court may proceed upon any other matter embraced in the action and not affected by the judgment or order"; "The purpose of the automatic stay ... is to protect the appellate court's jurisdiction by preserving the status quo until the appeal is decided"].) Accordingly, the motion is off calendar. If appropriate, after a remittitur issues, the appeal is dismissed, or this

		court otherwise retains jurisdiction again, Defendant may request that the motion be calendared again for hearing. Plaintiff to give notice.
8	Timanus vs. Melrose Recovery LLC.	<u>Motion for Judgment Not Withstanding the Verdict</u> <u>Motion for New Trial</u> <u>Motion to Vacate Judgment</u> 1. Motion for Judgment Not Withstanding the Verdict; 2. Motion for New Trial; and 3. Motion to Vacate Judgment. The court DENIES Defendant/Cross-Complainant WALTER YBARRA and Defendant RESTORATIONS HEALTH CARE LLC's (collectively, "Moving Defendants") motion to set aside the 5/18/26 Judgment and to enter a revised judgment notwithstanding the verdicts rendered by the jury on 4/28/26. The court also DENIES Moving Defendants' motion for a new trial. The court also DENIES Moving Defendants' motion to vacate the judgment. For the separately filed JNOV motion (ROA 473), motion for new trial (ROA 476), and motion to vacate the judgment (ROA 469), Moving Defendants argue that the evidence received at trial is insufficient to support the jury's verdict. Specifically, moving parties argue that "(1) [Plaintiff/Cross Defendant TRINA TIMANUS] did not establish that she suffered any harm; (2) Plaintiff did not present any credible evidence of damages; (3) the jury's damages award was inconsistent with Plaintiffs breach of contract and breach of fiduciary duty claims; (4) Plaintiff did not identify any breach of fiduciary duty by Ybarra upon which an award of punitive damages could be based; and (5) the jury's punitive damages award was improper, as Plaintiff did not introduce evidence of

		Ybarra’s current financial condition during the Trial-a prerequisite under California law for any punitive damages award-and as the jury’s punitive damages award was excessive and improper.” (ROA 473, at p. 3, lines 8-16; ROA 476, at p. 3, lines 11-19; ROA 469, at p. 3, lines 13-21.) Moving Defendants fail to support their arguments. There is no apparent defect in the verdict and the evidence presented at trial appears sufficient to support the verdict rendered by the jury. The court further notes that Moving Defendants failed to submit the trial record, which the court is required to review if a new trial is granted based upon the ground of insufficiency of the evidence. (See Code Civ. Proc., § 657 [“A new trial shall not be granted upon the ground of insufficiency of the evidence to justify the verdict ..., unless after weighing the evidence the court is convinced from the entire record, including reasonable inferences therefrom, that the ... jury clearly should have reached a different verdict or decision.”]; see also <i>Lane v. Hughes Aircraft Co.</i> (2000) 22 Cal.4th 1152A, as modified (May 10, 2000) [“there must be substantial evidence in the record to support [the] reasons [for granting a new trial]”).) Here, Moving Defendants merely submit a copy of the Judgment. In sum, each motion is DENIED. Plaintiff to give notice.
9	Vanderham vs. Pryor	<u>Demurrer (re Complaint)</u> OFF-CALENDAR. (See 7/1/26 Minute Order [vacating hearing after moving party filed notice of withdrawal].)
10	The Regents of the University of California, UC Irvine Medical Center vs. Kaiser	<u>Demurrer (re Complaint)</u> <u>Motion to Strike Portions Of Complaint</u>

	Foundation Health Plan, Inc.	OFF-CALENDAR. (See 6/29/26 Minute Order [vacating hearing for both motions after the filing of a Notice of Settlement of Entire Case].)
11	Oei vs. Abinante	<u>Demurrer</u> <u>Motion to Strike</u> 1. <u>Demurrer</u> The court OVERRULES in part, and SUSTAINS in part, Defendant MATTHEW ABINANTE's ("Abinante") demurrer to the third, fourth, fifth, seventh, and ninth causes of action of the Complaint filed by Plaintiff KEVIN OEI. (Code Civ. Proc., § 430.10(e), (f).) Specifically, the general demurrer to the fourth cause of action is SUSTAINED with 30 days leave to amend and the demurrer to the remaining causes of action are OVERRULED. The court GRANTS 30 days leave to amend. The Complaint asserts the following causes of action: (1) breach of contract (2) common count: goods and services rendered (3) unjust enrichment; (4) conversion; (5) accounting; (6) involuntary dissolution (7) removal of director; (8) enforcement of inspection rights; and (9) violation of Penal Code, § 496 The first, second, and sixth causes of action are asserted against ASCADA HEALTH PC ("Ascada") only. The ninth cause of action is asserted against Defendant MATTHEW ABINANTE ("Abinante") only. The remaining causes of action (i.e., the third, fourth, fifth, seventh and eighth causes of action) are asserted against both named defendants, Ascada and Abinante. <i>3rd C/A (unjust enrichment)</i> By way of the third cause of action for unjust enrichment, Plaintiff appears to seek disgorgement of monetary

payments of at least \$107,611.29 paid to Ascada from third parties for services rendered by Plaintiff as a Principal Investigator. (Compl., ¶¶ 81-85.)

Defendant Abinante first demurs on the ground that unjust enrichment is not a standalone cause of action.

In response, Plaintiff argues that the third cause of action should be treated as a restitution claim.

Some California courts have held that unjust enrichment is not a cause of action. (See e.g., *Hill v. Roll Int'l Corp.* (2011) 195 Cal.App.4th 1295, 1306; *Melchior v. New Line Prods., Inc.* (2003) 106 Cal.App.4th 779, 793; But see, *Prakashpalan v. Engstrom, Lipscomb & Lack* (2014) 223 Cal.App.4th 1105 [the court of appeal setting forth the elements of an unjust enrichment claim].)

But while unjust enrichment may or may not be a stand-alone cause of action, courts have stated that unjust enrichment is synonymous with restitution and allowed recovery where the plaintiff asserts a proper basis for recovering restitution. (*Durrell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370; *McBride v. Boughton* (2004) 123 Cal.App.4th 379, 387-88.) Such bases include quasi-contract, fraud, duress, conversion, or similar conduct. (*Durrell*, 183 Cal.App.4th at 1370; *McBride*, 123 Cal.App.4th at 387-388.)

Abinante also argues that the third cause of action is duplicative of the first and second causes of action for breach of contract and common counts. Similarly, Abinante also argues that the Complaint fails to allege facts demonstrating the absence of an adequate legal remedy, which Abinante asserts is required when seeking equitable relief based on unjust enrichment.

In response, Plaintiff argues that the third cause of action is directed at Abinante's individual conduct and notes that the Complaint intentionally excludes the contract allegations with Ascada from the third cause of action.

Plaintiff's arguments appear to have merit. As noted above, the first and second cause of action are not

asserted against Abinante. And the third cause of action does not incorporate the contract allegations made in the first and second causes of action. (Compl., ¶ 81 [incorporating paragraphs 1-64 but not 65-80].)

The court determines that the demurrer to the third cause of action should be OVERRULED.

4th C/A (conversion)

The fourth cause of action is for conversion, which is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages. (*Mendoza v. Rast Produce Co., Inc.* (2006) 140 Cal. App. 4th 1395, 1404-05.) Where money, rather than an item of property, is involved, a cause of action for conversion can be stated only where the defendant is alleged to have interfered with the plaintiff's *possessory interest* in a specific, identifiable sum. (*Kim v. Westmoore Partners, Inc.* (2011) 201 Cal. App. 4th 267, 284.)

Abinante argues that the fourth cause of action for conversion fails because the Complaint does not allege facts showing a specific, identifiable property interest subject to conversion.

Plaintiff disagrees, arguing that money can be the subject of conversion where the claim involves a specific, identifiable sum.

Here, the Complaint's allegations appear deficient. The Complaint alleges that Abinante substantially interfered with Plaintiff's property by controlling Ascada's bank accounts, preventing Plaintiff from accessing reimbursements made by Ascada. (Compl., ¶¶ 86-92.) The Complaint does not allege a possessory interest in a specific, identifiable sum of money belonging to Plaintiff. Rather, the Complaint alleges that "Plaintiff has suffered damages in an amount to be proven by trial but no less than \$107,611.29". (Compl., ¶ 91.)

Accordingly, the demurrer to the fourth cause of action is SUSTAINED, with 30 days leave to amend.

5th C/A (accounting)

An accounting cause of action requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting and that some balance is due to the plaintiff that can only be ascertained by an accounting. (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179.) “Equitable principles govern, and the plaintiff must show the legal remedy is inadequate.... Generally, an underlying fiduciary relationship, such as a partnership, will support an accounting, but the action does not lie merely because the books and records are complex. Some underlying misconduct on the part of the defendant must be shown to invoke the right to this equitable remedy.” (*Green Valley Landowners Assn. v. City of Vallejo* (2015) 241 Cal.App.4th 425, 442.)

Abinante argues that the fifth cause of action for an accounting fails because (1) the Complaint fails to allege an inadequate legal remedy, (2) the complexity of the accounts do not warrant an accounting, (3) the claim is duplicative of the eighth cause of action, and (4) Plaintiff lacks standing because Plaintiff has not alleged a derivative action.

In response, Plaintiff argues that the elements required for an accounting claim are sufficiently pled, the claim is not duplicative, and the standing argument may not be asserted by Abinante.

The allegations in the Complaint appear sufficient to overcome the demurrer. Here, the Complaint alleges a business relationship between the plaintiff and defendants, misconduct by defendants, and that an accounting is needed to determine the balance owed to Plaintiff. (Comp., ¶¶ 93-98; see also ¶¶ 16, 28-32 [regarding factual allegations of Abinante’s control of, and alleged wrongful diversion of, corporate funds].) Also, this claim is not governed by Corporations Code section 1601 and is distinct from the cause of action for shareholder inspection rights.

Accordingly, the demurrer to the fifth cause of action is OVERRULED.

7th C/A (removal of director)

Corporations Code section 304 states:

“The superior court of the proper county may, at the suit of shareholders holding at least 10 percent of the number of outstanding shares of any class, remove from office any director in case of fraudulent or dishonest acts or gross abuse of authority or discretion with reference to the corporation and may bar from reelection any director so removed for a period prescribed by the court. The corporation shall be made a party to such action.”

Defendant Abinante argues that the Complaint simply alleges an internal corporate governance dispute and does not allege fraudulent or dishonest conduct or gross abuse of authority on the part of Abinante.

Plaintiff argues that sufficient facts are alleged to meet the threshold requirements of Corporations Code section 304, and also argues that directors can be removed under general equity principles where directors breach their fiduciary duties.

The court finds that the Complaint sufficiently alleges factual conduct that, if true, may constitute gross abuse of authority with respect to Ascada, such as unilaterally removing Plaintiff as director and officer, opening an unauthorized bank account without board approval and engaging in self-dealing. (Compl., ¶¶ 36-65.)

As such, the demurrer to the seventh cause of action is OVERRULED.

9th C/A (violation of Penal Code § 496)

Penal Code section 496 provides,

“(a) Every person who buys or receives any property that has been stolen or that has been obtained in any

manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170.

...

(c) Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees."

The elements of this cause of action are: "(1) that the particular property was stolen, (2) that the accused received, concealed or withheld it from the owner thereof, and (3) that the accused knew that the property was stolen. (*Finton Construction, Inc. v. Bidna & Keys, APLC* (2015) 238 Cal.App.4th 200, 213.) A violation of the statute requires some form of criminal intent. (*See Siry Investment LP v. Farkenhondehpour* (2022) 13 Cal.5th 333, 361-362 [discussing the criminal intent requirement under Penal Code section 496 and contrasting violations of the statute to "ordinary commercial defaults" caused innocently or inadvertently].)

With respect to this cause of action, the Complaint alleges the following: "between March 2024 and 2025, Plaintiff's fair shares of profits and/or money from Defendant Ascada were stolen or ... Defendant Abinante obtained them in a manner constituting theft, including siphoning money." (Compl., ¶ 117.) Taken together with the other allegations in the Complaint, the court finds Plaintiff sufficiently pleads a cause of action for violation of Penal Code section 496.

As such, the demurrer to the ninth cause of action is OVERRULED.

Re Uncertainty Demurrer:

In addition to a general demurrer (i.e., failure to state facts sufficient to constitute a cause of action –Code Civ. Proc., §

430.10(e)), Abinante purports to also demur on the ground of uncertainty (Code Civ. Proc., § 430.10(f)).

Abinante however fails to show that any cause of action is uncertain. Indeed, other than conclusory statements that “Plaintiff’s allegations are deficient, uncertain, ambiguous”, Abinante does not address how any particular cause of action is uncertain.

Further, a demurrer for uncertainty is not intended to reach the failure to incorporate sufficient facts in the pleading, but is directed at the uncertainty existing in the allegations actually made. (*People v. Lim* (1941) 18 Cal. 2d 872, 883.) “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (*Khoury v. Maly’s of California, Inc.* (1993) 14 Cal.App.4th 612, 616.) Errors and confusion created by “the inept pleader” are to be forgiven if the pleading contains sufficient facts entitling plaintiff to relief. (*Saunders v. Cariss* (1990) 224 Cal. App. 3d 905, 908.) A party attacking a pleading on “uncertainty” grounds must specify how and why the pleading is uncertain, and where that uncertainty can be found in the challenged pleading. (*Fenton v. Groveland Community Services Dept.* (1982) 135 Cal.App.3d 797, 809 (disapproved on other grounds in *Katzberg v. Regents of the University of California* (2002) 29 Cal.4th 300).)

As such, Abinante’s uncertainty demurrer is OVERRULED in its entirety.

Moving Defendant to give notice.

2. Motion to Strike

The court **DENIES** Defendant MATTHEW ABINANTE’s (“Abinante”) motion to strike certain portions of the Complaint filed by Plaintiff KEVIN OEI.

Rule 3.1322(a) of the California Rules of Court states, “A notice of motion to strike a portion of a pleading must quote in full the portions sought to be stricken except

where the motion is to strike an entire paragraph, cause of action, count, or defense. Specifications in a notice must be numbered consecutively.”

Here, according to the Notice of Motion, Abinante seeks to strike the following portions from the Complaint:

Paragraphs 66 (references to ‘personal bank accounts’), 67 (references to ‘accounts under Defendant’s personal Control’), 70 (references to inspection of Defendant’s personal financial accounts), 95 (incorporation of the above allegations into the accounting claim), 117–119 (theft / Penal Code §496 allegations), 120 (punitive damages allegations), and the Prayer for Relief where it seeks treble damages under Penal Code § 496, punitive or exemplary damages, and an accounting of Defendant’s personal financial accounts.” (Not. Of Motion at p. 2, lines 12-18.)

But most of the identified paragraphs do not relate to the references made for those paragraphs. For example, Paragraph 66 does not reference any “personal bank accounts”; Paragraph 67 does not reference “accounts under Defendant’s personal control”; Paragraph 70 does not reference any inspection of Defendant’s personal financial accounts; and Paragraph 95 does not relate to any incorporation of all allegations into the accounting claim.

And except for Paragraph 120, the Notice of Motion does not meet Rule 3.1322’s requirement for identifying an entire paragraph sought to be stricken or quoting the portion sought to be stricken.

Moreover, there is no apparent basis for striking allegations in paragraphs 117-119 related to the ninth cause of action for violation of Penal Code section 496. As stated in the analysis above for the demurrer, sufficient facts are alleged to state the cause of action.

As for Paragraph 120 (re punitive/exemplary damages allegations), the Complaint contains sufficient factual allegations to support a claim for punitive/exemplary damages against Abinante. (See Civ. Code, § 3294(c) [authorizing punitive damages when a defendant acts with

		malice, oppression, or fraud, and defining such terms.) For example, the Complaint alleges that Abinante engaged in self-dealing against a business partner by, among other things, stealing or siphoning money from the business at Plaintiff's detriment. In sum, the motion to strike is DENIED in its entirety. Moving Defendant to give notice.
12	Salaiz vs. Ford Motor Company	<u>Motion for Judgment on the Pleadings</u> The court GRANTS Defendant FORD MOTOR COMPANY's ("Ford") motion for judgment on the pleadings as to the sixth cause of action for fraudulent inducement – with 20 days' leave to amend. As an initial matter, the court notes Ford did not satisfy Code of Civil Procedure section 439(a), which requires the parties to meet and confer in person, by telephone, or by video conference before filing a motion for judgment on the pleadings. (See Park Decl., ¶¶ 2-4.) Despite this deficiency, the court exercises its discretion to reach the merits of the motion at this time. <i>6th C/A (fraudulent inducement – concealment)</i> The elements of a cause of action for fraudulent concealment are: (i) concealment or suppression of a material fact; (ii) by a defendant with a duty to disclose the fact to the plaintiff; (iii) defendant's intent to defraud plaintiff by intentionally concealing or suppressing the fact; (iv) plaintiff was unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact; and (v) as a result, the plaintiff sustained damage. (<i>Hambrick v. Healthcare Partners Medical Group, Inc.</i> (2015) 238 Cal.App.4th 124, 162; see also Civ. Code, § 1573.) "A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff's

fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment)...Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as 'between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.] All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.'... 'Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.'" (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40-41; see, *Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 867 ["A duty to speak may arise in four ways: it may be directly imposed by statute or other prescriptive law; it may be voluntarily assumed by contractual undertaking; it may arise as an incident of a relationship between the defendant and the plaintiff; and it may arise as a result of other conduct by the defendant that makes it wrongful for him to remain silent."].)

"There are 'four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. [Citation.]'" (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336, citing *Heliotis v. Schuman* (1986) 181 Cal.App.3d 646, 651.)

“Suppression of a material fact is actionable when there is a duty of disclosure, which may arise from a relationship between the parties, such as a buyer-seller relationship.” (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843.)

Importantly, every element of fraud must be pleaded with specificity. The particularity requirement for fraud requires the pleading of facts showing how, when, where, to whom, and by what means the representations were made. (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.) This is to provide the defendant with notice and to give the court enough information to assess whether there is a foundation for the charge of fraud. (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216.) The requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.) However, “[l]ess specificity is required when it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy.” (*Committee on Children’s Television v. General Foods Corp.*, 35 Cal.3d at 216 [citation and internal quote marks omitted].)

“California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim...For instance, in a case such as this, the court must determine whether the plaintiff has alleged a sufficient factual basis for establishing a duty of disclosure on the part of the defendant independent of the parties’ contract. If the duty allegedly arose by virtue of the parties’ relationship and defendant’s exclusive knowledge or access to certain facts, ... the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point

at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission." (*Rattagan v. Uber Technologies, Inc.*, 17 Cal.5th at 43-44.)

In *Dhital*, the fraudulent concealment claim was sufficiently pleaded where the plaintiffs alleged they bought the vehicle from a Nissan dealership, Nissan backed the vehicle with an express warranty, and Nissan's authorized dealerships acted as its agents for purposes of selling Nissan vehicles to consumers. The alleged defect was sufficiently specific because plaintiffs alleged the CVT transmissions caused hesitation, shaking, jerking, and failure to function, and that Nissan knew of the defect through premarket testing and consumer complaints made to the National Highway Traffic Safety Administration, Nissan, and Nissan's dealers. (*Dhital v. Nissan North America, Inc.*, 84 Cal.App.5th at 844.)

Here, the Complaint fails to allege sufficient facts establishing that Ford owed Plaintiff a duty to disclose the alleged engine defect before purchase.

The Complaint does not allege Ford sold the subject vehicle to Plaintiff. Instead, Plaintiff alleges only that he entered into a warranty contract with Ford regarding the subject vehicle, which Ford manufactured and/or distributed. (Compl, ¶ 7.) Nor does the Complaint identify the seller or allege Plaintiff purchased the vehicle from Ford or from a Ford-authorized dealership acting as Ford's sales agent. The Complaint identifies Fullerton Ford as a business engaged in selling, servicing, and repairing automobiles, and alleges Plaintiff delivered the subject vehicle to Fullerton Ford for repair. (Compl., ¶¶ 5, 47.) The Complaint does not allege Fullerton Ford sold the vehicle to Plaintiff or acted as Ford's agent for purposes of the sale. (*Ibid.*) Although the Complaint alleges Ford's dealers are agents for vehicle repairs, it does not allege they are agents for vehicle sales, as in *Dhital*. (Compl., ¶ 57.)

Here, the Complaint also alleges Ford represented that vehicles equipped with the 2.0L engine were high quality and concealed the defect in marketing materials on which

		Plaintiff relied. (Compl., ¶ 72.) The Complaint however does not identify the specific marketing materials, when Plaintiff saw them, what representation he relied on, or how the alleged omission was communicated to him before purchase. Plaintiff's post-sale repair allegations likewise do not establish pre-sale fraudulent inducement. (Compl., ¶ 78.) Thus, the Complaint does not plead sufficient facts showing a duty to disclose arising from direct dealings, a sales-agency relationship, or another transaction or relationship sufficient to impose a pre-sale duty to disclose. Unlike <i>Dhital</i>, Plaintiff does not allege facts showing that he bought the vehicle from a Ford-authorized dealership acting as Ford's sales agent. The Complaint also does not plead sufficiently specific pre-sale concealment or reliance, nor does it plead sufficient facts showing Ford's intent to defraud Plaintiff at the time of purchase. Because these pleading defects are dispositive, the court need not separately address Ford's remaining arguments, including whether the economic loss rule applies. In sum, the motion is granted with 20 days' leave to amend. Moving Defendant to give notice.